

4.3 MONEY SUPPLY DEFINITIONS: M1, M2 & M3

MARKING SCHEME

1990/CE/II/32 C	1997/CE/II/35 A	2000/CE/II/27 C	2005/CE/II/38 A (53%)	2013/DSE/I/25 B (41%)
1991/CE/II/34 A	1997/CE/II/36 B	2000/CE/II/28 B	2006/CE/II/35 D (61%)	2015/DSE/I/30 A (70%)
1992/CE/II/32 C	1997/CE/II/37 B	2001/CE/II/25 B	2007/CE/II/39 A (49%)	2016/DSE/I/32 A (76%)
1994/CE/II/43 C	1998/CE/II/35 D	2002/CE/II/33 D (52%)	2008/CE/II/37 A (66%)	2017/DSE/I/33 C (43%)
1995/CE/II/43 A	1998/CE/II/36 D	2003/CE/II/32 A (43%)	2010/CE/II/39 D (48%)	2019/DSE/I/31 B
1996/CE/II/37 A	1999/CE/II/39 B	2004/CE/II/37 A (23%)	2012/DSE/I/28 B (69%)	2020/DSE/I/29 A
2022/DSE/I/41 B	2023/DSE/I/33 B	2024/DSE/II/33 C	2025/DSE/I/32 C	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/5(c)

- (i) - demand deposit
- savings deposit
- fixed deposit
- certificates of deposit

[Mark the **FIRST THREE** points only.]

(1@. max: 3)

(ii) - Liquidity:

Is it easily convertible into cash? [Demand deposit is the most liquid.]

- Returns in terms of interest:

How much returns does it yield? [Certificates of deposit offer the highest interest rate.]

- Certainty in interest earned:

Does it involve any risk? [The interest on fixed deposit is certain, and the deposit itself is also protected by the

Deposit Protection Scheme in Hong Kong (, whereas a CD is not).]

(3@. max: 6)

[Mark the **FIRST TWO** points only.]

1992/CE/I/3

- (a) (i) Cash held by non-bank public
Demand deposits

(1)

[Each incorrect component mentioned - deduct 1 mark]

(1)

- (ii) It cannot fulfill the function of money as a medium of exchange.

(3)

- (b) (i) M1 unchanged, because
cash held by the public decreased by \$1 000
demand deposits increased by \$1 000

(1)

OR

they counteract each other

(2)

1993/CE/II/5(c)(i)

M₁: no change;

(1)

M₂: increased (by \$3 million), because

(1)

savings deposits are included in M₂ but not in M₁.

(2)

1995/CE/10(b)(ii)

Not affected, because

both the customer's bank deposit and the shop's bank deposit are included in M2.

(1)

(1)

1996/CE/1/7

$\Delta M1$ = change in the amount of cash held by the non-bank public + change in the demand deposits with licensed banks

$$= \$ (40 - 50) \text{ mn.} + \$ (30 - 20) \text{ mn.} = 0$$

(2)

$\Delta M2$ = $\Delta M1$ + change in the time and savings deposits with licensed banks + change in the negotiable certificates of deposit issued by licensed banks and held by the non-bank public

$$= 0 + \$ [(40 + 30) - (40 + 40)] \text{ mn.}$$

$$= -\$10 \text{ mn.}$$

(2)

1999/CE/1/5

$M1$ = currency in the hands of the non-bank public + demand deposits

(2)

$M2$ = $M1$ + saving deposits + time deposits held with banks + negotiable certificates of deposit issued by banks held outside the monetary sector.

(2)

2002/CE/1/6

$M1$ increased

(1)

by \$90 000, because

(1)

the legal tender notes and coins held by the public increased.

(1)

$M3$ decreased

(1)

by \$60 000, because

(1)

this amount was no longer included in the cash in public circulation in HK or in the deposits with the monetary sector of HK.

(1)

[Remark: Mere mentioning of the definition of $M1$ and/or $M3$ - NO marks]

2008/CE/1/6

(1) legal tender notes and coins held by the non-bank public

(1)

(2) demand deposits

(1)

(3) savings deposits

(1)

(4) negotiable certificates of deposit

(1)

2020/DSE/1/8

8a) Monetary base = Cash held by public + Reserve of commercial bank = $800 + 1000 = 1800$ (1 mark)

Money Supply = Cash held by public + Total deposit = $800 + 4000 = 4800$ (1 mark)

b) Change of monetary base = change of cash held by public + change of reserve

$$= 0 + (- 700)$$

$$= - 700 \quad (1 \text{ mark })$$

c) New Maximum deposit after the withdrawal = $(1000 - 700) \times \text{maximum banking multiplier} = 300 \times 4 = 1200$

Change of deposit = $1200 - 4000 = - 2800$ (1 mark)

Change of money supply = change of cash held by public + change of deposit

$$= 0 - 2800$$

$$= -2800 \quad (2 \text{ marks })$$

2020/DSE/II/9C

- C) Do not have interest obligation
Do not have redemption pressure
(2 marks)

2025/DSE/II/10(Cross Topic)

(a) (i) Money supply growth rate = $(20\,837.4 - 21\,691.3) / 21\,691.3 \times 100\% = -3.94\%$ (1)

(ii) QTM: $MV = PY$, where M is money supply, V is velocity of circulation of money, P is general price level, Y is real output, assuming V to be constant. (2)

Growth rate of $Y \approx$ growth rate of M – growth rate of P = $-3.94 - 3.6 = -7.54\%$ (1)

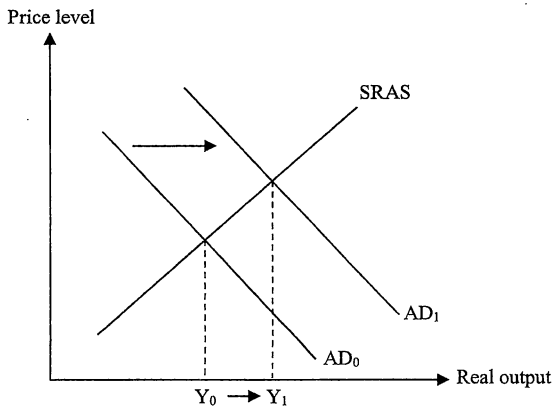
- (b) As discount rate is lowered, the cost for commercial banks to borrow money from the Federal Reserve decreases. (1)
Money supply increases. (1)
Nominal interest rate decreases. (1)

(c) Verbal elaboration:

- As interest rate decreases, investment increases. (1)
- Aggregate demand increases. (1)
- Real output increases. (1)

Indicate in the diagram:

- rightward shift of AD curve (1)
- increase in Y (1)



(d) Argument FOR:

- Increasing expenditure on infrastructure can increase the capital endowment in the future, raising the aggregate output in the long run. (2)

Argument AGAINST:

- Increasing expenditure on infrastructure would raise the US Government's expenses, worsening the fiscal balance. (2)